

If you think that you or your child will have to borrow to pay for education, set the stage early. Keep an eye on how assets are titled as soon as possible. Assets in your name or the child's name can affect how your child qualifies for loans, scholarships, and gift aid. If your parents want to help their grandchild, plan ahead on how their assets can accomplish this. For example, 529 accounts can often receive favorable student aid treatment, so have grandma and grandpa consider 529 contributions.

If you're self-employed and your kids are old enough to do some work, put them to work. You can pay them for tasks such as filing, stuffing envelopes, and cleaning. You'll get a tax deduction, and they'll have earned income that they might put into an IRA or college savings plan. For example, the child could fund a Roth IRA, and take the contributions back out (without taxes or penalties) at college time. However, any income or assets in the child's name will hurt his or her chances of receiving needs-based financial aid.